

Part II

PICKING WINNERS

In this section we'll discuss how to exploit an edge, how to find the most promising investments, how to evaluate what you own and what you can expect to gain in each of six different categories of stocks, the characteristics of the perfect company, the characteristics of companies that should be avoided at all costs, the importance of earnings to the eventual success or failure of any stock, the questions to ask in researching a stock, how to monitor a company's progress, how to get the facts, and how to evaluate the important benchmarks, such as cash, debt, price/earning ratios, profit margins, book value, dividends, etc.